

Gartner Ireland Limited

Directors' Report and Financial Statements

Year ended 31 December 2019

Registered number: 182294

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Officers and professional advisors

Directors	Anthony O'Connor Colm O'Connell Eric Paulak Ellen Keane Kimberley Holland Mark Wiedemer
Secretary	Anthony O'Connor
Auditor	KPMG 1 Stokes Place St. Stephen's Green Dublin 2 D02 DE03 Ireland
Bankers	JP Morgan Chase Bank (Ireland) plc JP Morgan House Dublin 1
Solicitors	Matheson Ormsby Prentice 70 Sir John Rogerson's Quay Dublin 2
Registered office	Two Park Place, Upper Hatch Street Dublin 2 Ireland

Directors' report

The Directors present their Directors' report and audited financial statements for the year ended 31 December 2019.

Principal activity

Gartner Ireland Limited (the "Company") is a subsidiary of Gartner, Inc., the world's leading research and advisory company. The Company is engaged in the provision and distribution of research products and advisory services. Additionally, the Company acquired certain intellectual property rights from a related group company during the year in consideration for a promissory note. The company licenses the intellectual property and together with Gartner, Inc., equips business leaders with indispensable insights, advice and tools to achieve their mission-critical priorities today and build the successful organisation of tomorrow.

Business review

Overview

Gartner, Inc., a corporation organized under the laws of the State of Delaware, USA and headquartered in Stamford, Connecticut, USA ("Gartner USA"), and its direct and indirect subsidiaries together (collectively "Gartner") constitute the world's leading research and advisory company. The Company provides business services and products both within and outside Ireland through its own employees, independent sales agents and affiliated companies in the following business segments:

- **Research** provides trusted, objective insights and advice on the mission-critical priorities of leaders across all functional areas of the enterprise through reports, briefings, proprietary tools, access to Gartner research experts, peer networking services and membership programs that enable the clients to drive organizational performance.
- **Conferences** provide business professionals across an organization the opportunity to learn, share and network. From Gartner Symposium/Xpo series, to industry-leading conferences focused on specific business roles and topics, to peer-driven sessions, Gartner's offerings enable attendees to experience the best of Gartner insight and advice live.
- **Consulting** combines the power of Gartner market-leading research with custom analysis and on-the-ground support to help chief information officers and other senior executives driving technology-related strategic initiatives move confidently from insight to action.

Competitive Advantages

The Company believes that the principal factors that differentiate it from its competitors are:

- **Superior research content** — The Company believes that it creates and has access to the broadest, highest-quality and most relevant research coverage across all major functional roles in an enterprise. Gartner's independent operating model and research analysis generates unbiased insight that it believes is timely, thought-provoking and comprehensive, and that is known for its high quality, independence and objectivity.
- **Leading brand name** — The Gartner name has been established for over 40 years.
- **Global footprint and established customer base** — The Company and its subsidiaries have a global presence with clients in more than 100 countries on six continents.
- **Experienced management team** — The directors and management team of the Company and its subsidiaries are composed of research veterans and experienced industry executives with long tenure at Gartner.
- **Substantial operating leverage in the Company's business model** — The Company has the ability to distribute its intellectual property and expertise across multiple platforms, including research and advisory subscription and membership programs, conferences and consulting engagements, to derive incremental revenue and profitability.
- **Vast network of analysts and consultants** — As of 31 December 2019, Gartner Ireland Limited had access to approximately 2,300 research experts and 780 experienced consultants located around the world. Gartner research experts are located in more than 30 countries, enabling the Company to cover vast aspects of business and technology on a global basis.

Directors' report *(continued)*

Principal Risks & Uncertainties

The Company and its subsidiary companies operate in a highly competitive and rapidly changing environment that involves numerous risks and uncertainties, some of which are beyond the Company's control. In addition, the Company and its subsidiary companies and their clients are affected by global economic conditions and trends. The following discusses many, but not all, of the risks and uncertainties that may affect the Company's future performance, and is not intended to be all-inclusive. Any of the risks described below could have a material adverse impact on the Company's business, prospects, results of operations, financial condition, and cash flows.

- The Company and its subsidiaries' operating results could be negatively impacted by global economic conditions.
- There is uncertainty with respect to the extent to which the Company and its subsidiaries' operations, financial condition and cash flows may be negatively affected by the COVID-19 crisis.
- The Company and its subsidiaries face significant competition and failure to compete successfully could materially adversely affect their results of operations, financial condition and cash flows.
- The Company and Gartner USA may not be able to maintain the quality of the existing products and services.
- The Company and Gartner USA may not be able to enhance and develop the existing products and services or introduce the new products and services that are needed to remain competitive.
- Technology is rapidly evolving, and if the Company and its subsidiaries do not continue to develop new product and service offerings in response to these changes, the Company and its subsidiaries' business could suffer.
- The Company and its subsidiaries' research business depends on renewals of subscription-based services and sales of new subscription-based services for a significant portion of the revenue, and failure to renew at historical rates or generate new sales of such services could lead to a decrease in the revenues.
- The Company and its subsidiaries' consulting business depends on non-recurring engagements and failure to secure new engagements could lead to a decrease in revenues.
- The profitability and success of the Company and its subsidiaries' conferences and other meetings could be adversely affected by external factors beyond their control.
- The Company and its subsidiaries' sales to governments are subject to appropriations and may be terminated.
- The Company and its subsidiaries may not be able to attract and retain access to qualified personnel which could jeopardise the quality of their products and services and their future growth plans.
- The Company and its subsidiaries may not be able to maintain the equity in the brand name.
- The Company and its subsidiaries are subject to risks from operating globally.
- Failure to comply with complex laws and regulations could have a material adverse effect on the Company and its subsidiaries' operations or financial condition.
- The Company is exposed to volatility in foreign currency exchange rates from its international operations.
- Natural disasters, pandemics, terrorist acts, war, actions by the governments, and other geopolitical events could disrupt the Company and its subsidiaries' operations.
- Privacy concerns could damage the Company and its subsidiaries' reputation and deter current and potential clients from using their products and services or attending their conferences.
- The Company and its subsidiaries are exposed to risks related to cybersecurity.
- The Company and its subsidiaries may experience outages and disruptions of their online services if they fail to maintain an adequate operations infrastructure.
- If the Company is unable to enforce and protect its intellectual property rights, its competitive position may be harmed.
- The Company and its subsidiaries have grown, and may continue to grow, through acquisitions and strategic investments, which could involve substantial risks.

Directors' report *(continued)*

Performance Review

Gross profits for the year of €49,478,000 compared with €26,132,000 for the prior year represent an 89.3% increase. The Company continues to execute a strategy to grow its business and improve operating margins.

Operating results for the financial year show an operating loss of €10,768,000 compared to an operating profit of €3,918,000 for the prior year. In April 2019, the Company acquired certain intellectual property rights (note 13). The decreased operating profit is primarily driven by amortisation of those intangible assets.

In monitoring performance, the directors and management have regard to a range of key performance indicators (KPI's) including the following:

<i>KPI</i>	Performance in 2019	Performance in 2018
Operating profit as a percentage of turnover	-1.4%	0.6%
Net operating costs as a percentage of turnover	8%	3%
	€'000	€'000
Cash at bank and in hand	1,917	254
Trade debtors	18,949	13,142
Deferred revenue	44,170	35,232

Financial instruments

The Company has foreign exchange transaction risk since it typically enters into transactions in the normal course of business that are denominated in foreign currencies that differ from the local functional currency. The Company enters into short-term foreign currency forward exchange contracts to mitigate the economic effects of some of these foreign currency transaction risks.

Results and dividends

Details of the profit for the year are set out in the Profit and loss account on page 12 and in the related notes to the financial statements.

The Company did not pay any dividend in the current year (2018: *€nil*).

Post balance sheet events

April 2020 and July 2020 Territory IP Transfer

Effective 1 April 2020, the Company purchased from Gartner Research Holdings Limited ("GRH"), its parent company, rights of use and commercial exploitation of certain intellectual property within certain territories, for consideration of \$246m and settled with promissory notes.

Effective 1 July 2020, GRH contributed to the Company with no share issuance, rights of use and commercial exploitation of certain intellectual property within a certain territory.

Directors' report *(continued)*

Post balance sheet events *(continued)*

2020 Gartner IP Cost Sharing Alignment and Restructuring

Effective 1 January 2020, Gartner incorporated various Intangible Property ("IP") into the Amended and Restated Agreement for Sharing Research and Development Costs with Respect to Intangible Property ("Gartner CSA"), to which the Company is already a party. In connection with the cost sharing alignment, the Company simultaneously entered into various license arrangements with various group companies.

Immediately after the July 2020 Territory IP transfer to the Company, GRH contributed, transferred and assigned its rights, benefits and interests in and to its remaining ROW rights with respect to the CSA IP, Licensed IP and Acquired IP, as defined under the Contribution Agreement and the Intangible Property Contribution and Assignment Agreement, to a group company, Gartner Cyprus Limited ("GCL") on 1 July 2020. As a result, the original License Agreement with Respect to Certain Intangible Property dated 31 January 2018 and its following amendment, the Master Distribution Agreement dated 1 April 2019, between GRH and the Company were terminated. Simultaneously, GCL and the Company entered into an Amended and Restated Master Distribution Agreement dated 1 July 2020, whereby GCL appointed the Company as non-exclusive distributor of the Products in the Territory as defined therein.

COVID-19

In December 2019, a novel coronavirus disease ("COVID-19") was reported in Wuhan, China and on 11 March 2020, the World Health Organization characterised COVID-19 as a pandemic. The virus has since spread to nearly all regions in the world and has created significant uncertainties and disruption in the global economy. The Company and its subsidiaries are closely monitoring the pandemic-related developments, and their highest priority is the health and safety of their associates, clients, vendors, partners and other stakeholders. The Company and its subsidiaries are working closely with clients to provide best in class COVID-19 related research to assist in achieving their mission critical priorities.

As a result of the COVID-19 pandemic, the Company and its subsidiaries have temporarily closed Gartner offices in Europe, parts of Asia and several other impacted locations and implemented significant travel restrictions. Though many of the Gartner employees continue to work remotely, these changes impact the normal business operations. It is difficult to predict when or how the Company and its subsidiaries will begin to lift the actions put in place as part of their business continuity plans, including work from home requirements and travel restrictions. Additionally, the Company and its subsidiaries cancelled or postponed certain conferences beginning in the first quarter of 2020. The consulting and research businesses also started to experience a slowdown. In response to the pandemic's impacts to the business, the Company and its subsidiaries have implemented certain cost management actions.

Any future asset impairment charges or restructuring charges could be more likely if the negative effects of the COVID-19 pandemic continue and will be dependent on the severity and duration of the crisis.

Directors

The directors who held office during the year, and up to the date of this report, unless otherwise noted, were as follows:

Anthony O'Connor
Colm O'Connell
Kimberley Holland (resigned 27 March 2019, appointed 17 September 2020)
Joanne McHugh (resigned 23 May 2019)
William Dorgan (appointed 27 March 2019, resigned 5 April 2020)
Eric Paulak (appointed 26 September 2019)
Ellen Keane (appointed 12 December 2019)
Mark Wiedemer (appointed 18 March 2020)

Directors' report *(continued)*

Accounting records

The directors believe that they have complied with the requirements of Section 281 to 285 of the Companies Act 2014 with regard to books of account by employing accounting personnel with appropriate expertise and by providing adequate resources to the financial function.

The books of account were maintained by Gartner's centralised accounting department located in Fort Myers, Florida, USA and at Tamesis, The Glanty, Egham, Surrey, UK. The books of account are also made available at the Company's registered office as required.

Disclosure of information to the auditor

The directors who held office at the date of approval of this directors' report confirm that they have taken all steps necessary to make themselves aware of any relevant audit information and have established that the Company's statutory auditor is aware of that information. In so far as they are aware, there is no relevant audit information of which the Company's statutory auditor is unaware.

Audit committee

Pursuant to Section 167 of the Companies Act 2014, companies of a certain size require the directors to establish an audit committee or to explain the reasons why they have decided not to do so. The Company meets the criteria under Section 167. However, the directors have decided not to establish an audit committee for the Company as there is an audit committee in place at the ultimate parent level, Gartner USA, who also has an internal audit department which operates throughout the group to assist in testing and monitoring adherence to internal controls and policies.

Directors' compliance statement

The directors, in accordance with Section 225(2) of the Companies Act 2014, acknowledge that they are responsible for securing the Company's compliance with certain obligations specified in that section arising from the Companies Act 2014 [where applicable, the Market Abuse (Directive 2003/6/EC) Regulations 2005, the Prospectus (Directive 2003/71/EC) Regulations 2005, the Transparency (Directive 2004/109/EC) Regulations 2007], and Tax laws ('relevant obligations'). The directors confirm that:

- a compliance policy statement has been drawn up setting out the Company's policies with regard to such compliance;
- appropriate arrangements and structures that, in their opinion, are designed to secure material compliance with the Company's relevant obligations, have been put in place; and
- a review has been conducted, during the financial year, of the arrangements and structures that have been put in place to secure the Company's compliance with its relevant obligations.

Political contributions

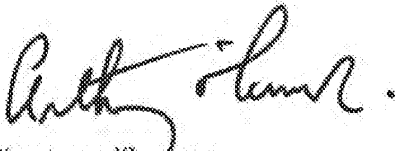
The Company made no political contributions during the year (2018: €nil).

Directors' report *(continued)*

Auditor

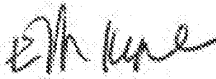
In accordance with Section 383(2) of the Companies Act 2014, KPMG, Chartered Accountants, were reappointed as the auditor of the Company during the year and have expressed their willingness to continue in office.

On behalf of the board



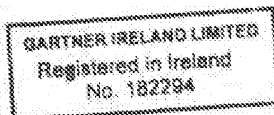
Director and Secretary
Anthony O'Connor

17 September 2020



Director
Ellen Keane

17 September 2020



Registered office Two Park Place, Upper Hatch Street
Dublin 2
Ireland

Statement of directors' responsibilities in respect of the Directors' Report and the financial statements

The directors are responsible for preparing the directors' report and the financial statements in accordance with applicable law and regulations.

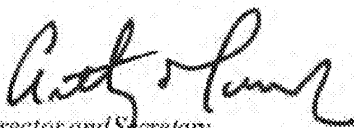
Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with FRS 101 *Reduced Disclosure Framework*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities and financial position of the Company and of its profit or loss for that year. In preparing these financial statements, the directors are required to:

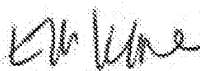
- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records which disclose with reasonable accuracy at any time the assets, liabilities, financial position and profit or loss of the Company and enable them to ensure that the financial statements comply with the Companies Act 2014. They are responsible for such internal controls as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities. The directors are also responsible for preparing a directors' report that complies with the requirements of the Companies Act 2014.

On behalf of the board


Director and Secretary
Anthony O'Connor

17 September 2020


Director
Ellen Keane

17 September 2020

GARTNER IRELAND LIMITED
Registered in Ireland
No. 182284



KPMG
Audit
1 Stokes Place
St. Stephen's Green
Dublin 2
D02 DE03
Ireland

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF GARTNER IRELAND LIMITED

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Gartner Ireland Limited ('the Company') for the year ended 31 December 2019 set out on pages 12 to 37, which comprise the Profit and Loss Account, Statement of Other Comprehensive Income / (Loss), Balance Sheet, Statement of Changes in Equity and related notes, including the summary of significant accounting policies set out in note 1. The financial reporting framework that has been applied in their preparation is Irish Law and FRS 101 *Reduced Disclosure Framework*.

In our opinion, the accompanying financial statements:

- give a true and fair view of the assets, liabilities and financial position of the Company as at 31 December 2019 and of its profit for the year then ended;
- have been properly prepared in accordance with FRS 101 Reduced Disclosure Framework; and
- have been properly prepared in accordance with the requirements of the Companies Act 2014.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (Ireland) ((ISAs (Ireland))) and applicable law. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with ethical requirements that are relevant to our audit of financial statements in Ireland, including the Ethical Standard issued by the Irish Auditing and Accounting Supervisory Authority (IAASA), and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

We have nothing to report on going concern

We are required to report to you if we have concluded that the use of the going concern basis of accounting is inappropriate or there is an undisclosed material uncertainty that may cast significant doubt over the use of that basis for a period of at least twelve months from the date of approval of the financial statements. We have nothing to report in these respects.

Other information

The directors are responsible for the other information presented in the annual report together with the financial statements. The other information comprises the information included in the directors' report. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except as explicitly stated below, any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work we have not identified material misstatements in the other information.



INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF GARTNER IRELAND LIMITED *(continued)*

Report on the audit of the financial statements *(continued)*

Other information *(continued)*

Based solely on our work on the other information;

- we have not identified material misstatements in the directors' report;
- in our opinion, the information given in the directors' report is consistent with the financial statements;
- in our opinion, the directors' report has been prepared in accordance with the Companies Act 2014.

Opinions on other matters prescribed by the Companies Act 2014

We have obtained all the information and explanations which we consider necessary for the purposes of our audit.

In our opinion the accounting records of the Company were sufficient to permit the financial statements to be readily and properly audited and the financial statements are in agreement with the accounting records.

Matters on which we are required to report by exception

The Companies Act 2014 requires us to report to you if, in our opinion, the disclosures of directors' remuneration and transactions required by Sections 305 to 312 of the Act are not made. We have nothing to report in this regard.

Respective responsibilities and restrictions on use

Responsibilities of directors for the financial statements

As explained more fully in the directors' responsibilities statement set out on page 8, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (Ireland) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF GARTNER IRELAND LIMITED *(continued)*

Respective responsibilities and restrictions on use *(continued)*

Auditor's responsibilities for the audit of the financial statements *(continued)*

A fuller description of our responsibilities is provided on IAASA's website at https://www.iaasa.ie/getmedia/b2389013-1cf6-458b-9b8f-a98202dc9c3a/Description_of_auditors_responsibilities_for_audit.pdf

The purpose of our audit work and to whom we owe our responsibilities

Our report is made solely to the Company's members, as a body, in accordance with Section 391 of the Companies Act 2014. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Maurice McCann
for and on behalf of KPMG
Chartered Accountants, Statutory Audit Firm
1 Stokes Place
St. Stephen's Green
Dublin 2
D02 DE03

25 September 2020

Profit and Loss Account
for the year ended 31 December 2019

	<i>Note</i>	2019 €'000	2018 €'000
Turnover	2	796,183	668,926
Cost of sales		(746,705)	(642,794)
Gross Profit		49,478	26,132
Net operating expenses		(60,246)	(22,214)
Operating (loss) / profit		(10,768)	3,918
Dividend income from shares in group undertakings	<i>8</i>	20,000	3,000
Loss from disposal of investment in subsidiaries	<i>14</i>	(1)	-
Interest receivable and similar income	<i>3</i>	338	119
Interest payable and similar expenses	<i>4</i>	(272)	(337)
Profit before taxation	5	9,297	6,700
Tax on profit	<i>10</i>	(5,113)	(6,956)
Profit / (loss) for the financial year		4,184	(256)

All activities in current and prior year derived from continuing operations.

The notes on pages 16 to 37 form an integral part of these Financial Statements.

Statement of Other Comprehensive Income / (Loss)
for the year ended 31 December 2019

	2019 €'000	2018 €'000
Profit / (loss) for the year	4,184	(256)
Other comprehensive loss		
<i>Items that may or may not be reclassified to profit or loss:</i>		
Effects of currency translation on foreign branches	(185)	(455)
Other comprehensive loss for the year, net of tax	(185)	(455)
Total comprehensive income / (loss) for the year	3,999	(711)

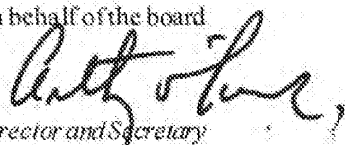
The notes on pages 16 to 37 form an integral part of these Financial Statements.

Balance Sheet
at 31 December 2019

	Note	2019 €'000	2019 €'000	2018 €'000	2018 €'000
Fixed assets					
Tangible fixed assets	11		2,261		107
Lease right-of-use assets	12		8,882		-
Intangible assets	13		325,289		-
Investments in subsidiaries	14		938,028		938,029
			<u>1,274,460</u>		<u>938,136</u>
Current assets					
Debtors	15	114,526		74,033	
Cash at bank and in hand		1,917		254	
			<u>116,443</u>	<u>74,287</u>	
Creditors:					
Lease liabilities - current	12	(503)		-	
Other amounts falling due within one year	17	(73,885)		(64,421)	
			<u>(74,388)</u>	<u>(64,421)</u>	
Net current assets			42,055		9,866
Total assets less current liabilities			<u>1,316,515</u>		<u>948,002</u>
Creditors:					
Lease liabilities - non-current	12	(8,563)		-	
Other amounts falling due after one year	18	(356,562)		(611)	
			<u>(365,125)</u>	<u>(611)</u>	
Net assets			<u>951,390</u>		<u>947,391</u>
Capital and reserves	20				
Called up share capital			195		195
Capital reserve			941,654		941,654
Other reserves			5		190
Profit and loss account			9,536		5,352
Shareholders' funds			<u>951,390</u>		<u>947,391</u>

The notes on pages 16 to 37 form an integral part of these Financial Statements.

On behalf of the board


Director and Secretary
Anthony O'Connor

17 September 2020

Director
Ellen Keane



17 September 2020

Statement of Changes in Equity

for the year ended 31 December 2019

	Called up share capital	Profit and loss account	Capital reserve	Other reserve	Total equity
	€'000	€'000	€'000	€'000	€'000
Balance at 1 January 2018	125	5,608	98,378	645	104,756
Issue of shares	70	-	843,276	-	843,346
Loss for the financial year	-	(256)	-	-	(256)
Foreign currency translation	-	-	-	(455)	(455)
Balance at 31 December 2018	195	5,352	941,654	190	947,391
Profit for the financial year	-	4,184	-	-	4,184
Foreign currency translation	-	-	-	(185)	(185)
Balance at 31 December 2019	195	9,536	941,654	5	951,390

The notes on pages 16 to 37 form an integral part of these Financial Statements.

Notes

1 Accounting policies

Gartner Ireland Limited (the "Company") is a private company incorporated and domiciled in Ireland. The registered number is 182294 and the registered address is Two Park Place, Upper Hatch Street, Dublin 2, Ireland.

Basis of preparation

These financial statements were prepared in accordance with Financial Reporting Standard 101 *Reduced Disclosure Framework* ("FRS 101") as issued in August 2014. The amendments to FRS 101 applicable and effective for financial years presented, have also been applied.

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards as adopted by the EU ("Adopted IFRSs"), but makes amendments where necessary in order to comply with the Companies Act 2014 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, and intangible assets;
- disclosures in respect of related party transactions;
- certain disclosures under IFRS 15 *Revenue from Contracts with Customers*;
- certain disclosures under IFRS 16 *Leases*;
- the effects of new but not yet effective IFRSs; and
- disclosures in respect of the compensation of key management personnel.

As the consolidated financial statements of Gartner Inc., a corporation organized under the laws of the State of Delaware, United States of America, and the ultimate parent entity of the Company ("Gartner USA"), include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- The disclosures required by IFRS 7 *Financial Instrument Disclosures* and IFRS 13 *Fair Value Measurement* regarding financial instrument disclosures have not been provided apart from those which are relevant for the financial instruments which are held at fair value and are not either held as part of trading portfolio or derivatives; and
- Certain disclosures required by IAS 36 *Impairment of Assets* in respect of the impairment of indefinite life intangible assets;

The Company proposes to continue to adopt the reduced disclosure framework of FRS 101 in its next financial statements.

The Company has initially applied IFRS 16 *Leases* from 1 January 2019. Due to the transition method chosen by the Company in applying IFRS 16, comparative information throughout these financial statements has not been restated to reflect the new standard's requirement. Changes to significant accounting policies in applying the standard are described below. The adoption of IFRS 16 did not result in a cumulative effect adjustment to the Company's financial statements.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

The financial statements have been prepared in Euro.

Notes (continued)

1 Accounting policies (continued)

Consolidation

The Company is exempt per Section 300 of the Companies Act 2014 from the requirement to prepare consolidated financial statements in accordance with International Financial Reporting Standards on the basis that it is an indirect wholly owned subsidiary of Gartner USA which prepares and files consolidated financial statements incorporating the results of the Company. Accordingly, these financial statements present information about the Company as a single entity together with its branches.

The following accounting policies, unless otherwise stated, have been applied consistently in dealing with items which are considered material in relation to the Company's financial statements.

1.1 Measurement convention

The financial statements are prepared on the historical cost basis. Non-current assets and disposal groups held for sale are stated at the lower of previous carrying amount and fair value less costs to sell.

1.2 Going concern

The Company's business activities, together with the factors likely to affect its future development, performance and position, are set out in the business review on pages 2 - 7. After making enquiries, the Directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. For this reason, they continue to adopt the going concern basis in preparing the financial statements.

1.3 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and accumulated impairment losses.

Depreciation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of tangible assets. The estimated useful economic lives are as follows:

Short leasehold improvements	-	shorter of the lease term or the useful economic life of the assets
Computers	-	3 years
Telephone and office equipment	-	5 years
Furniture & fixtures	-	8 years

Depreciation methods, useful lives and residual values are reviewed at each balance sheet date.

1.4 Intangible fixed assets

Intangible assets that are acquired by the Company are stated at cost less accumulated amortisation and accumulated impairment losses.

Amortisation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of intangible assets. The estimated useful economic lives are as follows:

Tradename	-	Indefinite life
Technology	-	3 years
Content	-	2 years
Institutional process	-	10 years

Notes (continued)

1 Accounting policies (continued)

1.5 Non-derivative financial instruments

Non-derivative financial instruments comprise investments in equity securities, trade and other debtors, cash and cash equivalents, and trade and other creditors. Subsequent to initial recognition, all assets are measured at amortised cost within the scope of IFRS 9.

Trade and other debtors

Trade and other debtors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses.

Trade and other creditors

Trade and other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Investments in equity securities

Investments in subsidiaries are carried at cost less impairment.

1.6 Derivative financial instruments

Derivative financial instruments are recognised at fair value. The gain or loss on remeasurement to fair value is recognised immediately in profit or loss. However, where derivatives qualify for hedge accounting, recognition of any resultant gain or loss depends on the nature of the item being hedged.

Forward contracts

The Company has foreign exchange transaction risk, since it typically enters into transactions that are denominated in foreign currencies which differ from the local functional currency. The Company enters into short-term foreign currency forward exchange contracts to mitigate the economic effects of these foreign currency transaction risks. These contracts are accounted for at fair value with realised and unrealised gains and losses recognised in Other Expense, net since the Company does not designate these contracts as hedges for accounting purposes.

1.7 Foreign currencies

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss account.

The profits and losses of branches denominated in foreign currencies are translated at average rates for the period. Exchange differences resulting from the retranslation of the opening balance sheets of branches denominated in foreign currencies at closing rates, together with the differences on the translation of the income statements, are included in other comprehensive income.

Notes (continued)

1 Accounting policies (continued)

1.8 Leases

IFRS 16 *Leases* replaces the provisions of IAS 17 and IFRIC 4 that relate to the recognition, measurement, presentation and disclosures of leases. As explained, IFRS 16 was adopted without restating comparative information under the modified retrospective approach, and it did not result in a cumulative effect adjustment to the Company's financial statements. The key changes to the Company's accounting policies resulting from its adoption of IFRS 16 *Leases* are described below.

Accounting policy before January 1, 2019

Previously, the Company classified leases as operating or finance leases based on its assessment of whether the lease transferred significantly all of the risks and rewards incidental to ownership of the underlying asset to the Company under IAS 17. All leases were classified as operating leases and were charged to the profit and loss account on a straight-line basis over the period of the lease.

Accounting policy after January 1, 2019

Under IFRS 16, the Company assesses whether a contract is, or contains, a lease based on the definition of a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. For facility leases, the Company has elected not to separate non-lease components and account for both the lease and non-lease components as a single lease component. The Company recognises a right-of-use asset and a lease liability at the lease commencement date for all leases including short-term leases. The Company has elected not to recognize right-of-use assets and lease liabilities for leases of low-value assets including office equipment and other assets unless they are part of the facility lease arrangements and share reasonably similar characteristics.

The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received. The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate as the Company's lease agreements do not provide implicit interest rates. The incremental borrowing rate is calculated for each individual lease and represents the rate of interest that the Company would have to pay to borrow on a collateralized basis over a similar term an amount equal to the lease payment in a similar economic environment. The lease liability is remeasured when there is a change in future lease payments. At remeasurement, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

1.9 Employee benefits

Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which the company pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

Notes (continued)

1 Accounting policies (continued)

1.10 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit or loss except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The following temporary differences are not provided for: differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date. A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised.

1.11 Impairment

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether it is impaired using the expected credit loss model ("ECL") as required under IFRS 9 Financial Instruments. Loss allowances are measured as 12-month ECL if the credit risk on the financial asset has not increased significantly since the initial recognition. If the credit risk has increased significantly, lifetime ECL are recognized.

ECL are a probability-weighted estimate of credit losses over the expected life of the financial instrument. For a financial asset that is not credit-impaired at the reporting date, loss allowances are calculated as the present value of all cash shortfalls (i.e. the difference between all contractual cash flows that are due in accordance with the contract and all the cash flows that are expected to be received), discounted at the original effective interest rate. For a financial asset that is credit-impaired at the reporting date but that is not a purchased or originated credit-impaired financial asset, loss allowances are calculated as the difference between the gross carrying amount and the present value of estimated future cash flows discounted at the original effective interest rate. Interest on the impaired asset continues to be recognized through the unwinding of the discount. When a subsequent event causes the amount of loss allowances to decrease, the decrease in loss allowances is reversed through profit and loss.

Non-financial assets

The carrying amounts of the Company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit").

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Notes (continued)

1 Accounting policies (continued)

1.12 Dividends on shares presented within shareholders' funds

Dividends unpaid at the balance sheet date are only recognised as a liability at that date to the extent that they are appropriately authorised and are no longer at the discretion of the Company. Unpaid dividends that do not meet these criteria are disclosed in the notes to the financial statements.

1.13 Turnover

The Company recognises revenue when performance obligations have been satisfied.

Continuous service revenues are recognised ratably over the applicable contract term (i.e. as the Company provides services over the contract period), generally a twelve-month period. The Company's policy is to record, at the time of signing of a continuous service contract, the fees receivable and related deferred revenues for the full amount of the contract billable on that date. Cancellations have not been significant. All contracts are billable at signing, except in certain limited cases when special terms are granted.

Revenues from consulting engagements are recognised as work is delivered or services provided and are evaluated on a contract by contract basis.

Publication and other non-continuous service revenues are recognised on the date of publication or completion of service.

Additionally, the Company has various licensing agreements with its group companies, which requires payments that provide the Company with a return in accordance with internationally accepted arm's length standards. Revenue is recognised when the Company has the right to receive payment under the terms of the licensing agreements.

1.14 Other income and expenses

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method. Dividend income is recognised in the profit and loss account on the date the entity's right to receive payments is established. Foreign currency gains and losses are reported on a net basis.

The Company also records the related commission obligation upon signing of the contract and amortises the corresponding deferred commission expense over the contract year in which the related continuous services revenues are earned and recognised as income.

Notes (continued)

2 Turnover

Turnover represents the amounts (excluding Value Added Tax and other sales taxes) derived from the provision of goods and services to customers and other group companies.

The Company is exempt from the scope of IFRS 8 and accordingly has not disclosed any segmental information regarding turnover.

Required disclosures under IFRS 15

(i) Customer contract assets and liabilities

The Company has recognised the following assets and liabilities related to contracts with customers:

	2019 €'000	2018 €'000
Assets:		
Trade debtors and accrued income, gross	34,592	24,074
Contract assets (1)	50	177
Loss allowance	(191)	(133)
	<u>34,451</u>	<u>24,118</u>
Contract liabilities:		
Deferred revenues (current liability)	43,732	34,918
Non-current deferred revenue	438	314
	<u>44,170</u>	<u>35,232</u>

(1) Contract assets represent recognised revenue for which we do not have an unconditional right to payment as of balance sheet date because the project may be subject to a progress billing milestone or some other billing restriction.

During the year ended 31 December 2019, the Company recognised €24,419,000 of revenue (2018: €16,577,000) that was attributable to deferred revenue that was recorded at 31 December 2018. In 2019, the Company recorded €191,000 loss allowance (2018: €133,000) for contract assets (see note 1.11 for impairment accounting policy).

(ii) Assets recognised from the costs to obtain or fulfil contracts with customers

Upon the signing of a customer contract, the Company capitalises the related commission as a recoverable direct incremental cost of obtaining the underlying contract and records a corresponding commission payable. No other amounts are capitalised as a cost of obtaining or fulfilling a customer contract because no expenditures have been identified that meet the requisite capitalisation criteria. For research, consulting and other, the straight-line method is used for amortising deferred commissions over a period that is based on the projected recoverability for such costs, using factors such as the underlying contract period, the timing of when the corresponding revenues will be earned and the anticipated term of the engagement.

At 31 December 2019, the balance of prepaid commissions and related fringe was €6,927,000 (2018: €6,668,000) in connection with costs to obtain or fulfil contracts with customers. During the year ended 31 December 2019, the Company recognised €9,925,000 amortisation expense (2018: €9,095,000) on commissions and related fringe and €nil impairment.

Notes *(continued)*

3 Interest receivable and similar income

	2019 €'000	2018 €'000
Interest receivable on intercompany loans	338	119
	<u>338</u>	<u>119</u>

4 Interest payable and similar expenses

	2019 €'000	2018 €'000
Interest payable on intercompany payments	272	337
	<u>272</u>	<u>337</u>

5 Expenses and auditor's remuneration

Profit before tax is stated after charging for the following:

	2019 €'000	2018 €'000
Audit of these financial statements	24	35
Tax compliance fees paid to the Company's audit firm	8	7
Depreciation of owned tangible fixed assets (note 11)	69	43
Amortisation of owned intangible assets (note 13)	31,032	-
Foreign exchange loss	642	222
Rental expenses under leases (note 12)		
- Land and buildings	1,015	91
	<u>1,015</u>	<u>91</u>

6 Directors' remuneration and transactions

	2019 €'000	2018 €'000
Directors' remuneration		
Directors' emoluments	267	80
Company contributions to money purchase pension schemes	20	-
Amounts paid to third parties in respect of Directors' services	15	14
	<u>302</u>	<u>94</u>

Notes (continued)

7 Staff numbers and costs

The average number of persons employed by the Company during the year, analysed by category, was as follows:

	2019 Number	2018 Number
Professional	40	35

The aggregate payroll costs of these persons were as follows:

	2019 €'000	2018 €'000
Wages and salaries	6,910	6,271
Social security	763	623
Contributions to defined contribution plan	361	318
	8,034	7,212

Administrative services and support are provided by various group companies.

Certain employees are remunerated with equity awards in the ultimate parent company. The charge during the current and prior years is considered to be immaterial; therefore, no further disclosure is necessary for these accounts.

8 Income from investments in subsidiaries

	2019 €'000	2018 €'000
Dividend income from shares in other group companies	20,000	3,000
	20,000	3,000

9 Employee benefits

All pension entitlements of staff are met by payments to a group externally funded defined contribution scheme which is vested in independent trustees, nominated for the sole benefit of employees and their dependants.

The total pension cost for the year amounted to €360,649 (2018: €318,089). The balance of contributions due to the defined contribution scheme at 31 December 2019 was €nil (2018: €49,166).

Notes (continued)

10 Taxation

Recognised in the profit and loss account

	2019	2019	2018	2018
	€'000	€'000	€'000	€'000
<i>Irish corporation tax</i>				
Current tax on income for the period	378		58	
Adjustments in respect of prior periods	-		(423)	
		378		(365)
<i>Foreign tax</i>				
Current tax on income for the period	7,812		7,142	
Adjustments in respect of prior years	(524)		189	
		7,288		7,331
Total current tax		7,666		6,966
<i>Deferred tax (see note 16)</i>				
Total deferred tax		(2,553)		(10)
Tax on profit		5,113		6,956

Reconciliation of effective tax rate

	2019	2018
	€'000	€'000
Profit/ (loss) for the year	4,184	(256)
Total tax expense	5,113	6,956
Profit excluding taxation	9,297	6,700
Tax using the Irish corporation tax rate of 12.5% (2018: 12.5%)	1,162	838
Effects of:		
Differential on tax rate on investment income	42	508
Non-deductible expenses	(596)	(756)
Short term timing differences	-	10
Underlying tax relieved on foreign dividend income	(2,801)	(977)
Foreign tax suffered	7,812	7,142
Other	18	18
Carryback of trade losses	-	417
Over provided in prior years	(524)	(244)
Total tax expense	5,113	6,956

Notes (continued)

11 Tangible fixed assets

	Computers and office equipment €'000	Fixtures, fittings and telephone equipment €'000	Short leasehold improvements €'000	Total €'000
<i>Cost</i>				
Balance at 1 January 2019	72	82	173	327
Additions	412	423	1,388	2,223
Disposals	(4)	-	-	(4)
	<u>480</u>	<u>505</u>	<u>1,561</u>	<u>2,546</u>
<i>Depreciation</i>				
Balance at 1 January 2019	64	52	104	220
Disposals	(4)	-	-	(4)
Charge for year	17	18	34	69
	<u>77</u>	<u>70</u>	<u>138</u>	<u>285</u>
<i>Net book value</i>				
At 31 December 2019	<u>403</u>	<u>435</u>	<u>1,423</u>	<u>2,261</u>
At 31 December 2018	<u>8</u>	<u>30</u>	<u>69</u>	<u>107</u>

12 Leases

The Company's leasing activities are primarily for facilities under cancellable and non-cancellable lease agreements expiring during 2019 and through May 2034. As of 31 December 2019, there is one active facility lease. This facility lease agreement contains a one-time termination option with a 6-month exercise window from November 2028 to May 2029. Additionally, the lease provides for a rent review in May 2024 based on changes in the market value. The Company also leases certain office equipment and other assets, which are part of the facility lease arrangements, share similar characteristics and therefore are treated as part of facility leases.

The Company has initially applied IFRS 16 *Leases* from 1 January 2019 using the modified retrospective method. Under this method of adoption, the cumulative effect of applying the new standard is recorded at the date of the initial application, with no restatement of comparative prior periods presented. The adoption of IFRS 16 did not result in a cumulative effect adjustment to the Company's financial statements. However, the adoption of the new standard required recognition of right-of-use assets and lease liabilities on the Company's balance sheet and improved disclosures notwithstanding the exemptions available under FRS 101.

Notes (continued)

12 Leases (continued)

Required disclosures under IFRS 16

(i) Lease right-of-use assets and liabilities

	Facility lease right-of-use assets €'000
Balance at 1 January 2019	-
Addition	9,280
Depreciation charge for the year	(398)
Balance at 31 December 2019	8,882

	Facility lease liabilities €'000
Maturity analysis – contractual undiscounted cash flows	
Less than one year	822
One to five years	3,297
More than five years	7,485

Total undiscounted lease liabilities at 31 December 2019	11,594
Current	503
Non-current	8,563
Included in the balance sheet at 31 December 2019	9,066

Incremental borrowing rate applied	3.58%
Total cash outflow	592

(ii) Amounts recognised in profit and loss account

	2019 €'000
Interest expense on lease liabilities (included in net operating expenses)	211
Expenses relating to leases expired during the transition year 2019 (included in net operating expenses)	406

(iii) Effect of adoption of IFRS 16 Leases

The adoption of IFRS 16 on 1 January 2019 did not have a material impact on the Company's financial statements. The Company's lease that was active as of 1 January 2019 expired during the transition year in 2019. Under the practical expedients as permitted by IFRS 16, the Company did not measure the right-of-use asset and related liabilities on the lease, and instead charged the lease payments as an expense on a straight-line basis which was included in the net operating expenses. Furthermore, there was no cumulative effect to the Company's equity.

	€'000
Operating lease commitment at 31 December 2018 as disclosed in the Company's financial statements	67
Exemption for leases expired during the transition year 2019	(67)

Lease liabilities recognised at 1 January 2019 discounted using the incremental borrowing rate

+

Notes (continued)

12 Leases (continued)

Required disclosures under IFRS 16 (continued)

(iii) Effect of adoption of IFRS 16 Leases (continued)

In connection with the IFRS 16 adoption, the Company has applied the following practical expedients as permitted under the standard:

- Applying a single discount rate to a portfolio of leases with reasonably similar characteristics;
- Relying on previous assessments on whether a contract is, or contains, a lease at the date of initial application under IAS 17 and IFRIC 4;
- Relying on previous assessments on whether leases are onerous as an alternative to performing an impairment review;
- Accounting for leases where the lease term ends within 12 months of the date of initial application as short-term leases and electing not to measure the related right-of-use asset and liabilities;
- Excluding initial direct costs for the measurement of the right-of-use asset at the date of initial application; and
- Using hindsight in determining the lease term where the contract contains options to extend or terminate the lease.

13 Intangible assets

	Tradename €'000	Technology €'000	Content €'000	Institutional Process €'000	Total €'000
<i>Cost</i>					
At 1 January 2019	-	-	-	-	-
Additions	187,697	37,719	38,318	90,496	354,140
Currency translation adjustment	1,003	201	204	483	1,891
	<u>188,700</u>	<u>37,920</u>	<u>38,522</u>	<u>90,889</u>	<u>356,031</u>
Balance at 31 December 2019	188,700	37,920	38,522	90,889	356,031
<i>Amortisation</i>					
Charge for the year	-	9,569	14,582	6,881	31,032
Currency translation adjustment	-	(89)	(137)	(64)	(290)
	<u>-</u>	<u>9,480</u>	<u>14,445</u>	<u>6,817</u>	<u>30,742</u>
Balance at 31 December 2019	-	9,480	14,445	6,817	30,742
<i>Net book value</i>					
At 31 December 2018	-	-	-	-	-
At 31 December 2019	188,700	28,440	24,077	84,072	325,289

Effective 1 April 2019, the Company purchased from Gartner Research Holdings Limited ("GRH"), its parent company, rights of use and commercial exploitation of certain intellectual property within certain territories, for consideration of \$400m (€354m) and settled with a promissory note.

Notes (continued)

14 Investments in subsidiaries

	Shares in other group undertakings €'000
Cost	
At 1 January 2019	938,029
Disposal	(1)
At 31 December 2019	<u>938,028</u>
Provisions	
At 1 January and 31 December 2019	<u>-</u>
Net book value	
At 31 December 2019	<u>938,028</u>
At 31 December 2018	<u>938,029</u>

On 1 January 2019, the Company sold its 0.001% direct ownership interest in CEB India Private Limited to Gartner India Research & Advisory Services Private Limited, an indirect subsidiary company, for consideration of INR 14,758. As a result, the Company recognized a loss of €1,000 arising from the disposal of the investment.

The Company believes that the valuation attributed to the subsidiaries is at least equal to the subsidiaries' net realisable value.

The Company has the following investments in subsidiaries:

	Country of Incorporation	Principal Activity	Shares held by Company	
			Type	Percentage
Subsidiary undertaking and registered office				
Gartner Europe Holdings B.V. Keizersgracht 311, 1016EE Amsterdam	Netherlands	Holding & investment company	Ordinary	100%
Shares held by subsidiary undertaking				
Gartner UK Limited Tamesis, The Glanty, Egham, Surrey, T20 9AW	United Kingdom	IT Research & Consulting	Ordinary	100%
Computer Financial Consultants Limited Tamesis, The Glanty, Egham, Surrey, T20 9AW	United Kingdom	Technical & Financial Consulting	Ordinary	100%
Gartner QFC L.L.C. Al Fardan Office Tower, # 1421, 61 Al Fandag Street West Bay, PO Box 31316 Doha, Qatar	Qatar	IT Research & Consulting	Ordinary	100%
CEB Global Limited Tamesis, The Glanty, Egham, Surrey, T20 9AW	United Kingdom	IT Research & Consulting	Ordinary	100%
Gartner France SARL Tour Europalaza, 20 avenue André Fréhin 92400 Paris La Defense Cedex	France	IT Research & Consulting	Ordinary	100%

Notes (continued)

14 Investments in subsidiaries (continued)

Shares held by subsidiary undertaking	Country of Incorporation	Principal Activity	Shares held by Company	
			Type	Percentage
Gartner Deutschland GmbH Leher-Wirth-Str. 2, 82829 München	Germany	IT Research & Consulting	Ordinary	100%
Meta Group GmbH Leher-Wirth-Str. 2, 82829 München	Germany	IT Research & Consulting	Ordinary	100%
Gartner Sverige AB Gustav III:s Boulevard 54 169 74 Solna, Stockholm, Sweden 169 74	Sweden	IT Research & Consulting	Ordinary	100%
Gartner Nederland BV De Entree, 16 th Floor, Entree 256 1101 EE, Amsterdam Zuid Oost	Netherlands	IT Research & Consulting	Ordinary	100%
Gartner Italia Srl Via Caldera 21, Edif. E - Ala 2, 20153 Milano	Italy	IT Research & Consulting	Ordinary	100%
Gartner Switzerland GmbH Förlihubstrasse 70, CH-8005 Zürich, Switzerland	Switzerland	IT Research & Consulting	Ordinary	100%
Meta Saudi Arabia (dormant) Dubai Internet City	United Arab Emirates	IT Research & Consulting	Ordinary	100%
Gartner Belgium BVBA Corporate Village, Building Figueras, 1, De Vincinlan 11, 190 Zaventem, Brussels	Belgium	IT Research & Consulting	Ordinary	99.9%
Gartner Austria GmbH Kärntnerstrasse 25, A-1010 Vienna	Austria	IT Research & Consulting	Ordinary	100%
Gartner España, S.L. Paseo de la Castellana, 31, La Pirámida, 28046, Madrid	Spain	IT Research & Consulting	Ordinary	100%
Nubera eBusiness S.L. Carrer de Pallars 193, Barcelona, Spain 08021	Spain	Software Lead Generation	Ordinary	100%
Gartner Mexico S. DE R.L. DE. C. V Boulevard Manuel Ávila Camacho no. 36 Piso 10 Col. Lomas de	Mexico	IT Research & Consulting	Ordinary	99.9%
Gartner Australasia Pty Limited Level 12, 680 George Street, Sydney NSW 2000	Australia	IT Research & Consulting	Ordinary	100%
Gartner Gulf FZ LLC Offices 206-209, Floor 2, Building 2, PO Box 500 391 Dubai Internet City, Dubai	United Arab Emirates	IT Research & Consulting	Ordinary	100%
Gartner Research & Advisory (Korea) Co., Ltd. Suite 2407, Trade Tower, 511 Yeongdong-daero Gangnam-Gu, Seoul 06164	Korea	IT Research & Consulting	Ordinary	100%
Gartner Advisory (Singapore) Pte Limited Co. 6 Temasek Boulevard, #13 Suntec City Tower 3	Singapore	IT Research & Consulting	Ordinary	100%

Notes (continued)

14 Investments in subsidiaries (continued)

Shares held by subsidiary undertaking	Country of Incorporation	Principal Activity	Shares held by Company	
			Type	Percentage
Gartner Hong Kong, Ltd. Suite 2204-G, 22/F, Berkshire House 25 Westlands Road, Quarry Bay	Hong Kong	IT Research & Consulting	Ordinary	100%
Gartner India Research & Advisory Services Private Limited Rajha Towers, 2nd Floor, C-30 G-Block Bandra Kurla Complex, Bandra East, Mumbai 400051	India	IT Research & Consulting	Ordinary	99.98%
Gartner Consulting (Beijing) Co. Ltd F8, Building B, Parkview Green FangCaoDi No. 9 Dongdaqiao Road, Chaoyang District Beijing 100020	China	IT Research & Consulting	Ordinary	100%
Gartner Research & Advisory (Malaysia) SDN, BHD Level 30, Gardens N. Tower, Mid Valley City Lingkaran Syed Putra, Kuala Lumpur Malaysia 59200	Malaysia	IT Research & Consulting	Ordinary	70%
Gartner Israel Advisory Ltd. 6 Hachoshlim Street, 1st Floor, PO Box 12006 Herzliya Pituach, 46722	Israel	IT Research & Consulting	Ordinary	100%
Gartner Turkey Teknoloji Arastirma ve Danismanlik Hizmetleri Limited Sirketi Buyukdere Cd. 1. Levent Plaza, No: 17 Kat :7, 34220 Levent, Istanbul	Turkey	IT Research & Consulting	Ordinary	100%
Gartner Saudi Arabia Limited Centria Mall, Offices Tower 4th Floor, Suite No 403, Room No 2, Riyadh	Saudi Arabia	IT Research & Consulting	Ordinary	100%
Gartner South Africa (Pty) Ltd. Suites 3 and 4A, First Floor, Madison Place Alphen Park, Constantia, Cape Town	South Africa	IT Research & Consulting	Ordinary	100%
Gartner Finland Oy Keihäntia 15, Espoo 02150	Finland	IT Research & Consulting	Ordinary	100%
Gartner RUS LLC Level 4, 4th Lesnoy Pereulok 4, Moscow 125047	Russia	IT Research & Consulting	Ordinary	100%
Gartner Poland sp. z o.o. Regus Skylight, 14th floor ul. Zlota 59, 00-120 Warszawa	Poland	IT Research & Consulting	Ordinary	100%
Gartner Danmark ApS Kalvebod Brygge 45, 3rd floor, 1560 Copenhagen V	Denmark	IT Research & Consulting	Ordinary	100%
Gartner Norge AS Karenslyst Alle 57, 0277 Oslo	Norway	IT Research & Consulting	Ordinary	100%
Gartner Group Taiwan Limited 110, 6F -A, No.200, Sec. 1, Keelung Rd. Xinyi District, Taipei City 110	Taiwan	IT Research & Consulting	Ordinary	100%

Notes (continued)

15 Debtors

	2019 €'000	2018 €'000
Trade debtors	18,949	13,142
Amounts owed by group undertakings	66,538	34,902
Tax receivable	3,584	2,227
Other debtors	424	289
Deferred tax asset (see note 16)	2,581	28
Prepayments and accrued income	22,450	23,445
At end of year	114,526	74,033

All amounts fall due within one year.

Amounts owed by group undertakings are repayable on demand.

16 Deferred tax assets and liabilities

Recognised deferred tax assets and liabilities

Deferred tax assets are attributable to the following:

	2019 €'000	Assets 2018 €'000
Tangible fixed assets	(22)	5
Provisions	24	23
Intangible assets	2,579	-
Tax assets	2,581	28

No deferred tax asset is recognised in respect of unrelieved foreign tax credit on foreign source dividend income of €14,840,618 (2018: €12,807,648), unrelieved foreign tax credit on a discontinued permanent establishment of €13,864 (2018: €13,864) and capital loss of €60,073 (2018: €60,073).

Movement in deferred tax during the year

	1 January 2019 €'000	Recognised in income €'000	31 December 2019 €'000
Tangible fixed assets	5	(27)	(22)
Provisions	23	1	24
Intangible assets	-	2,579	2,579
	28	2,553	2,581

Notes (continued)

16 Deferred tax assets and liabilities (continued)

Movement in deferred tax during the prior year

	1 January 2018 €'000	Recognised in income €'000	31 December 2018 €'000
Tangible fixed assets	4	1	5
Provisions	14	9	23
	<u>18</u>	<u>10</u>	<u>28</u>

17 Creditors: amounts falling due within one year

	2019 €'000	2018 €'000
Trade creditors	600	591
Taxation and social security	2,083	891
Amounts owed to group undertakings	19,655	21,094
Accruals	7,815	6,927
Deferred income - current	43,732	34,918
	<u>73,885</u>	<u>64,421</u>
Taxation and social security consists of:		
VAT	2,083	891
	<u>2,083</u>	<u>891</u>

Amounts owed to group undertakings are interest-free and repayable on demand.

18 Creditors: amounts falling due after one year

	2019 €'000	2018 €'000
Amounts owed to group undertakings	356,031	297
Deferred income - long term portion	438	314
Dilapidation	93	-
	<u>356,562</u>	<u>611</u>

Amounts owed to group undertakings are interest-free and repayable on demand.

Notes (continued)

19 Derivative financial instruments

As of 31 December 2019, the Company has 66 (2018:58) short-term foreign currency forward exchange contracts outstanding with notional contract amount of €94,945,564 (2018: €109,287,674). The fair value of the asset/(liability) at the end of the year is €50,667 (2018: (€196,537)). All of the outstanding contracts at 31 December 2019 matured by the end of January 2020.

Fair values of derivative financial instruments

IFRS 7 and IFRS 13 provides a framework for the measurement of fair value and a valuation hierarchy based upon the transparency of inputs used in the valuation of assets and liabilities. Classification within the hierarchy is based upon the lowest level of input that is significant to the resulting fair value measurement. The table below analyses financial instruments, into a fair value hierarchy based on the valuation technique used to determine fair value.

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices)
- Level 3: inputs for the assets or liability that are not based on observable market data (unobservable inputs)

The fair values of derivative financial instruments by class shown in the balance sheet are as follows:

	Fair value 2019 €000	Fair value 2018 €000
IFRS 9 categories of financial instruments designated as fair value through profit or loss		
Foreign currency forwards	51	(197)
Total financial assets / (liabilities) at fair value through profit or loss	51	(197)

The Company enters into foreign currency forward exchange contracts to hedge the effects of adverse fluctuations in foreign currency exchange rates. Valuation of the foreign currency forward contracts is based on foreign currency exchange rates in active markets, which the Company considers a Level 2 input.

Notes (continued)

20 Capital and reserves

Share capital

	2019 €'000	2018 €'000
<i>On issue at 1 January and December 2019</i>	195	
<i>Authorised</i>		
2,000,000 ordinary shares of €1.00 each	2,000	2,000
<i>Allotted, called up and fully paid Equity</i>		2019 €'000
194,817 ordinary shares of €1.00 each		195

Capital reserves

Capital reserves represent contributions of capital in the form of cash, shares in subsidiary undertakings or assets from the Company's ultimate parent, Gartner USA. Of capital reserves, €901,022,000 represents share premium (2018: €901,022,000).

Other reserves

Other reserves represent the exchange differences resulting from the retranslation of the opening balance sheets of branches denominated in foreign currencies at closing rates, together with the differences on the translation of the income statement.

21 Related parties

The Company has availed of the exemption available in paragraph 8(k) of FRS 101 from disclosing transactions with group undertakings. Other than transactions with related group undertakings there are no related party transactions requiring disclosure.

22 Ultimate parent company and parent company of a larger group

The Company's ultimate parent undertaking is Gartner USA. The largest and smallest group in which the results of the Company and its subsidiary undertakings are consolidated is that headed by Gartner USA whose registered office address is 251 Little Falls Drive, Wilmington, Delaware 19808. The consolidated financial statements of Gartner USA are available to the public on www.investor.gartner.com and also on www.sec.gov, and may be obtained by making written request to Investor Relations Department, Gartner, Inc., 56 Top Gallant Road, Stamford, CT 06904, U.S.A.

Notes (continued)

23 Subsequent events

April 2020 and July 2020 Territory IP Transfer

Effective 1 April 2020, the Company purchased from Gartner Research Holdings Limited ("GRH"), its parent company, rights of use and commercial exploitation of certain intellectual property within certain territories, for consideration of \$246m and settled with promissory notes.

Effective 1 July 2020, GRH contributed to the Company with no share issuance, rights of use and commercial exploitation of certain intellectual property within a certain territory.

2020 Gartner IP Cost Sharing Alignment and Restructuring

Effective 1 January 2020, Gartner incorporated various Intangible Property ("IP") into the Amended and Restated Agreement for Sharing Research and Development Costs with Respect to Intangible Property ("Gartner CSA"), to which the Company is already a party. In connection with the cost sharing alignment, the Company simultaneously entered into various license arrangements with various group companies.

Immediately after the July 2020 Territory IP transfer to the Company, GRH contributed, transferred and assigned its rights, benefits and interests in and to its remaining ROW rights with respect to the CSA IP, Licensed IP and Acquired IP, as defined under the Contribution Agreement and the Intangible Property Contribution and Assignment Agreement, to a group company, Gartner Cyprus Limited ("GCL") on 1 July 2020. As a result, the original License Agreement with Respect to Certain Intangible Property dated 31 January 2018 and its following amendment, the Master Distribution Agreement dated 1 April 2019, between GRH and the Company were terminated. Simultaneously, GCL and the Company entered into an Amended and Restated Master Distribution Agreement dated 1 July 2020, whereby GCL appointed the Company as non-exclusive distributor of the Products in the Territory as defined therein.

COVID-19

In December 2019, a novel coronavirus disease ("COVID-19") was reported in Wuhan, China and on 11 March 2020, the World Health Organization characterised COVID-19 as a pandemic. The virus has since spread to nearly all regions in the world and has created significant uncertainties and disruption in the global economy. The Company and its subsidiaries are closely monitoring the pandemic-related developments, and their highest priority is the health and safety of their associates, clients, vendors, partners and other stakeholders. The Company and its subsidiaries are working closely with clients to provide best in class COVID-19 related research to assist in achieving their mission critical priorities.

As a result of the COVID-19 pandemic, the Company and its subsidiaries have temporarily closed Gartner offices in Europe, parts of Asia and several other impacted locations and implemented significant travel restrictions. Though many of the Gartner employees continue to work remotely, these changes impact the normal business operations. It is difficult to predict when or how the Company and its subsidiaries will begin to lift the actions put in place as part of their business continuity plans, including work from home requirements and travel restrictions. Additionally, the Company and its subsidiaries cancelled or postponed certain conferences beginning in the first quarter of 2020. The consulting and research businesses also started to experience a slowdown. In response to the pandemic's impacts to the business, the Company and its subsidiaries have implemented certain cost management actions.

Any future asset impairment charges or restructuring charges could be more likely if the negative effects of the COVID-19 pandemic continue and will be dependent on the severity and duration of the crisis.

Notes (continued)

24 Accounting estimates and judgements

The preparation of financial statements requires the use of estimates and judgements about future events. Management develops estimates using both current and historical experience, as well as other factors, including the general economic environment and actions that may be taken in the future. Management adjusts such estimates when the facts and circumstances dictate. However, Management's estimate may involve significant uncertainties and judgements and cannot be determined with precision. In addition, these estimates are based on best judgement at a point in time and as such these estimates could be material and would be reflected in the Company's financial statements in future periods. Management's selection of the accounting policies which contain critical estimates and judgements is listed below:

- Lease accounting: note 1.8 – In determining the lease term, the Company makes a judgement whether it is reasonably certain to exercise extension options. Additionally, the application of the incremental borrowing rate involves estimates and assumptions.
- Impairment on trade debtors or contract assets: note 1.11 – The Company makes an estimate of the recoverable value of trade and other debtors. The Company applies IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade debtors and contract assets.
- Impairment on non-financial assets: note 1.11 – If there is an indication of impairment of these assets, an assessment will be undertaken to determine an estimate of the recoverable value of the asset.
- Revenue recognition: note 1.13 – A judgement is made to recognise revenue evenly over the contract period, with reference to the milestones achieved in the terms of the contract.

25 Approval of the financial statements

The board of directors approved the financial statements on 17 September 2020.